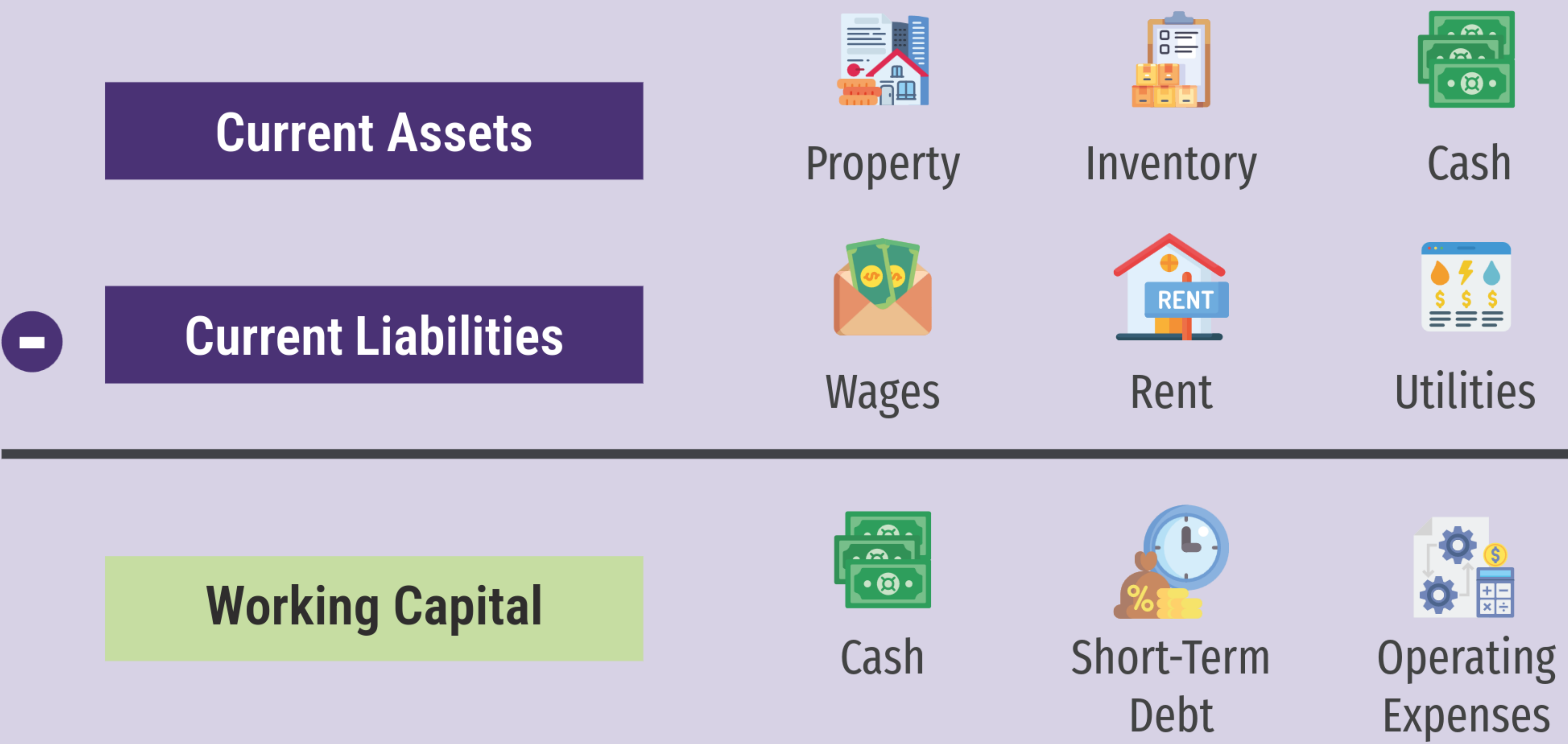


Working Capital and Its Role in Cash Flow

Working capital is a financial metric that shows the ability of a business to meet its short-term obligations. It is represented by the difference between its current assets and current liabilities. Current assets include items like cash, accounts receivable (money owed by customers), and inventory, whereas current liabilities consist of obligations like accounts payable (money owed to suppliers) and short-term debts.



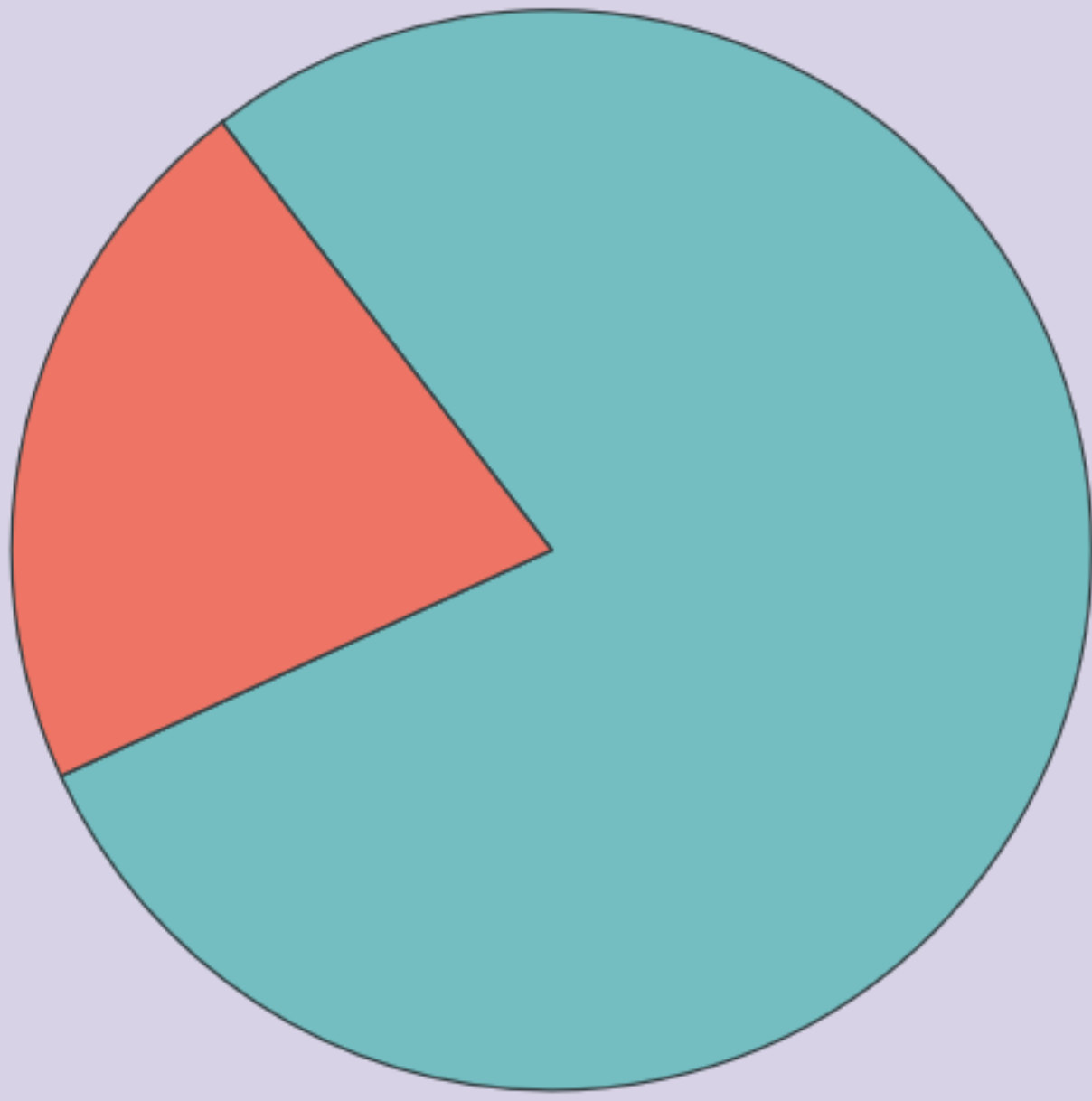
It represents the capital required to cover the company’s day-to-day operations. It measures a company’s liquidity, which is its ability to meet short-term financial obligations and fund ongoing business activities.

Positive working capital indicates financial stability, while negative working capital signals potential liquidity challenges, requiring additional funding to maintain stability.

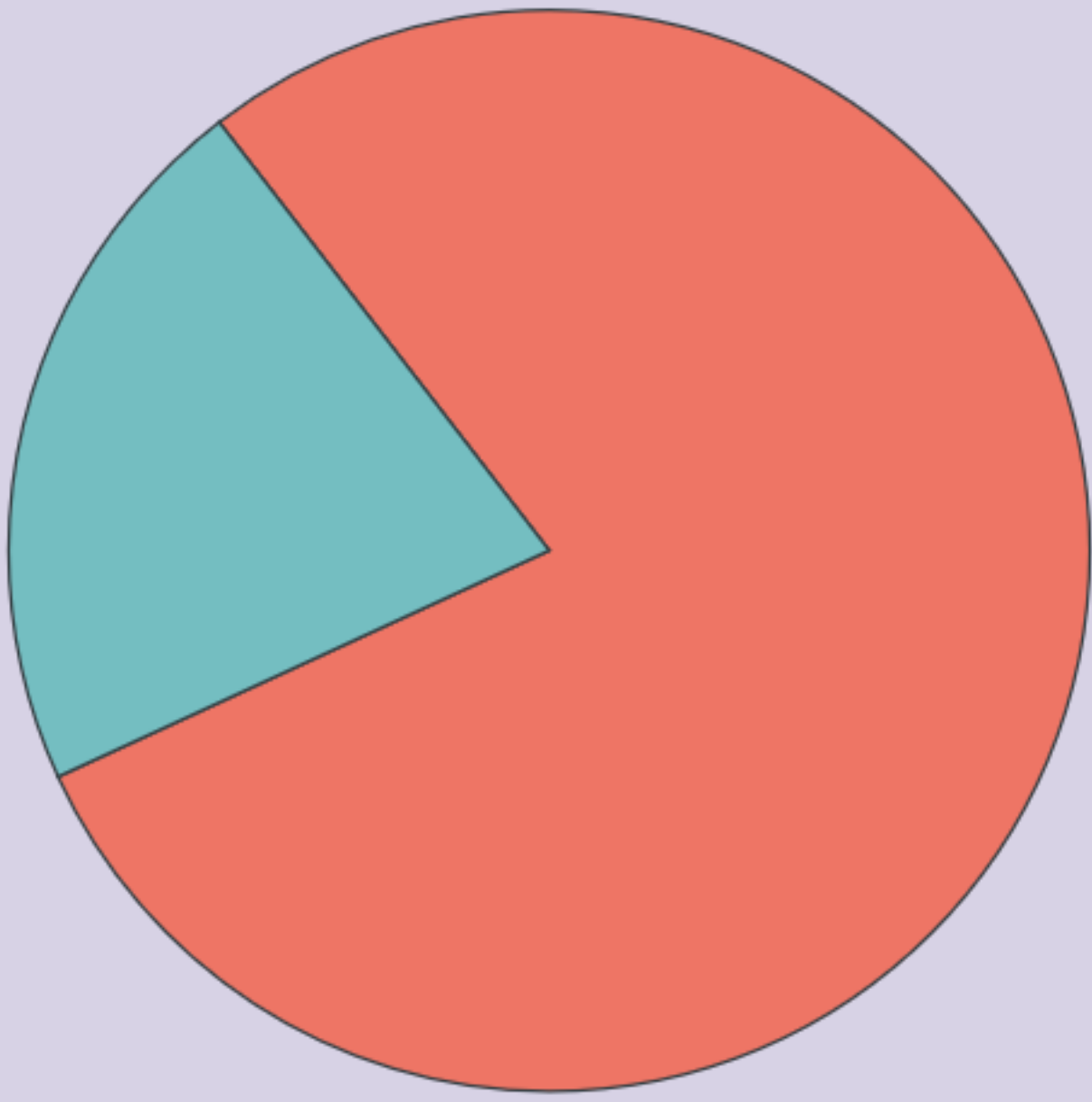
Liabilities

Negative Working Capital

- ✓ Cash
- ✓ Accounts Receivable
- ✓ Other Assets
- ✓ Sufficient Liquid Assets



Financial Stability



- ✓ Liabilities Exceed Assets
- ✓ Need for Additional Financing

Risk of Financial Instability